

Startups

“Unfortunately, MANY STARTUPS Are Not Aware OF THE POLICIES”

Should startups funnel their funding and investments into their existing bank accounts, or is it wiser to open a separate one? What are the other mistakes that startups make in India? Sharath Shyamasunder, Founder and CEO of The Startup Zone, with extensive experience working with over 5000 startups, discusses these issues with EFY's Mukul Yudhveer Singh.

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What are the most common mistakes startups make in India?

Most startups ignore legal compliance. Many founders, while being highly skilled at tech and products, ignore legal and financial compliance. This usually happens because they are extremely busy with the products and do not keep track of the due dates and compliances involved in the legal processes. Besides the ones that are to be filed with Registrar of Companies (RoC), there are a bunch of forms that startups usually miss.

What does this mean for them?

They end up paying a lot of penalties. This often happens in the pre-revenue stages of a startup. In the

long run, it also affects their ability to raise funds. Another prevalent problem in the startup industry is attempting to comply with legal and financial laws without having a professional on their team or a reliable compliance partner. This results in these startups spending much time and money on incorrect filings.

Can you give an example of such a mistake?

Yes, carrying out financial transactions without understanding whether tax deducted at source (TDS) is applicable or not is the most common mistake made by startups in India. Most startups make that mistake! Similarly, startups miss out on export and import

codes or letters of undertaking (LUTs) when carrying out international business.

Is there an example of a startup via which we can understand this better?

While I cannot name any startup, one was incorporated in 2012. They had not paid professional tax on behalf of the company and employees employed by them. They ended up paying a huge penalty and interest. The professional tax in Karnataka is ₹200 for salaries above ₹25,000 per month. It is as simple as that. This startup was also on the list of companies that had received notices for non-filing of annual RoC returns. Directors of such companies